

NOVACORP

Strategic Talent & Hiring Value Report

Executive decision pack | targeted retention, sourcing discipline and measurable value

DECISION REQUESTED

Approve a capped, voluntary HiPo Stay-and-Act pilot plus an Agency Value Gate. Release broader funding only after 6- and 12-month evidence demonstrates integrity, trust, fairness, retention impact and positive net value.

9.03%

FORMAL HIPO SHARE

49.62%

EXPOSURE SHARE

\$12.634M

HISTORICAL HIPO EXPOSURE

\$2.133M

BASE NET SCENARIO

EXECUTIVE ANSWER

Protect the 9% carrying approximately half of historical regrettable replacement exposure - without pretending the data already knows why each employee leaves.

NovaCorp should start with a controlled employee-informed pilot, learn which actions work, and separately govern the agency premium. It should not launch an enterprise-wide pay, engagement or retention programme on the current evidence.

EVIDENCE BOUNDARY

\$42M is not one validated recoverable loss. This report counts only two separately supported pools: historical HiPo replacement exposure and the agency fee-premium scenario. All savings are decision sensitivities until Finance verifies avoided invoices or backfills.

Prepared for NovaCorp CHRO, CFO and Accenture judges | August 2026

1 Executive summary

Four questions lead directly to one controlled decision.

PROBLEM

Strategic-talent replacement exposure is concentrated, while reasons and organisational responses arrive too late.

DIAGNOSIS

No universal pay, career, engagement, entity or role mechanism survived the full evidence review.

DECISION

Run ValueGuard: a voluntary HiPo Stay-and-Act pilot plus a governed Agency Value Gate.

VALUE

Base decision scenario: \$2.633M gross - \$0.500M envelope = \$2.133M net; 427% ROI.

WHAT THE EVIDENCE ESTABLISHES

Executive question	Business answer
Where is the loss?	1,210 formal HiPos are 9.03% of employees but 49.62% of historical replacement exposure.
Do we know one cause?	No. Concentration is strong; a universal mechanism is not supported.
What is controllable?	Employee-informed reason-to-action and agency requisition approval.
What happens if NovaCorp acts?	\$0.382M / \$2.133M / \$3.428M net across conservative/base/upside scenarios.
How will NovaCorp know?	6/12-month comparison-based retention, verified avoided cost, trust, fairness and integrity.

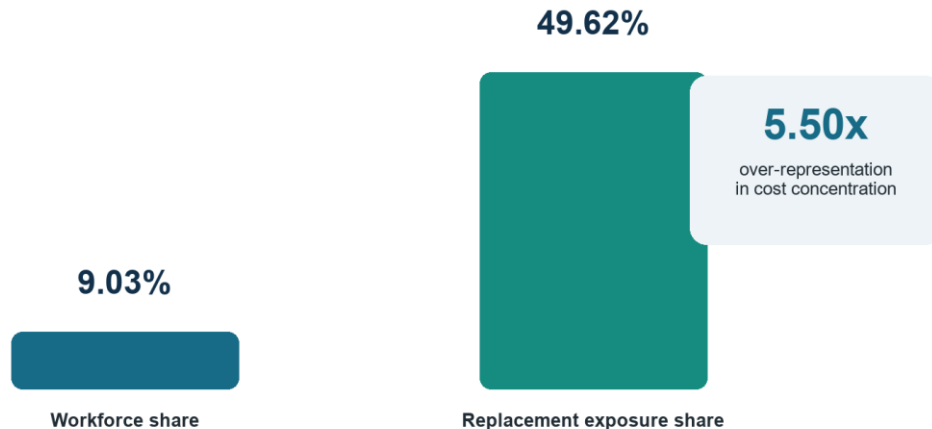
DECISION PRINCIPLE

Cap downside. Learn before scaling. Recognise value only when Finance can audit it.

2 The business problem: concentrated value, unresolved mechanism

9% of the workforce carries ~50% of regrettable replacement exposure

Formal HiPos are a concentrated value-at-risk population - not a proven cause of exit.



Decision: focus the pilot where value is concentrated; do not infer why an individual may leave.

Figure 1. Formal HiPo concentration | Source: *outputs/final_strategy/hipo_concentration.csv*

WHAT? Formal HiPos are 1,210 of 13,403 employees, but 76 of 153 regrettable exits and \$12.634M of \$25.462M historical replacement exposure.

SO WHAT? The evidence identifies the smallest stable population carrying material value. It does not show that HiPo status causes departure: designation timing is unavailable and regret is assigned after exit.

No universal HiPo treatment survived the evidence review

Each plausible explanation leads to a narrower, employee-informed business response.

HYPOTHESIS	EVIDENCE VERDICT	BUSINESS CONSEQUENCE
Compensation	No common mechanism	Keep formal pay review available individually
Promotion / career	Dated pathway mixed or null	Offer career action only when employee-stated
Engagement	No stable common decline	Do not treat scores as the root cause
R&C / FAR	Exposure material; cause unproven	Include R&C; collect market/workload evidence
Entity_B	Listening pressure; cause unproven	Improve access; do not target entity-wide
Survey non-response	Time-ordered but nonspecific	Operational check, never flight-risk trigger

NO UNIVERSAL HIPO TREATMENT IS SUPPORTED

Identify employee-specific friction before acting

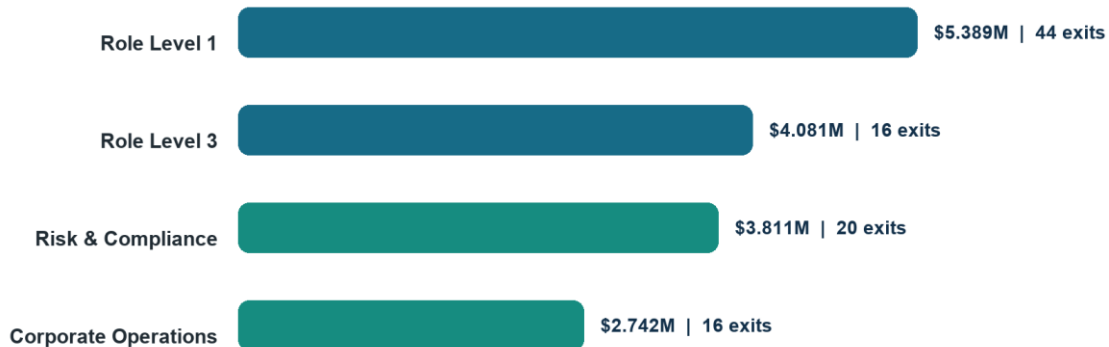
Figure 2. Root-cause evidence map | Source: *final evidence register E3-E7*

NOW WHAT? Do not preselect one treatment. Ask the employee what friction is real, then complete a bounded action or deliberately record no action.

3 Where to focus - and how ValueGuard works

Four material strata should balance the pilot

Historical replacement exposure; strata are concentration pockets, not root causes.



Use these strata for balanced coverage and monitoring - never as causal labels.

Figure 3. Material pilot strata | Source: *outputs/final_strategy/tables/priority_population.csv*

Use Role Level 1, Role Level 3, Risk & Compliance and Corporate Operations to balance coverage and monitor outcomes. Do not target small intersections or present any stratum as a cause.

ValueGuard: listen, act, learn - then earn the right to scale

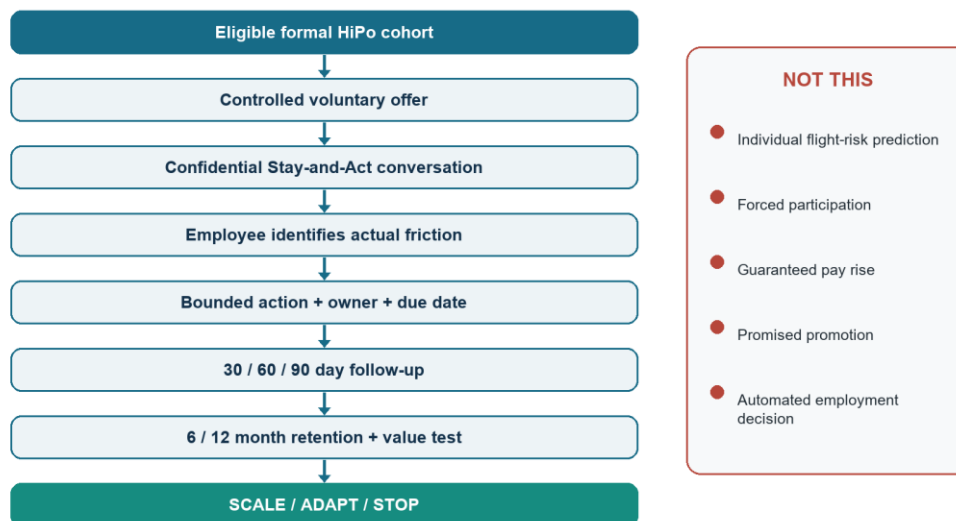


Figure 4. ValueGuard operating model | Source: *docs/final_strategy/implementation_plan.md*

The intervention is support, not surveillance: controlled voluntary offer -> confidential conversation -> employee-stated friction -> bounded action -> follow-up -> comparison-based value test.

4 Agency value and the financial case

Agency sourcing carries an implied \$4.565M premium

Observed 2024-25 agency hires: 274 | observed salary base: \$33.734M

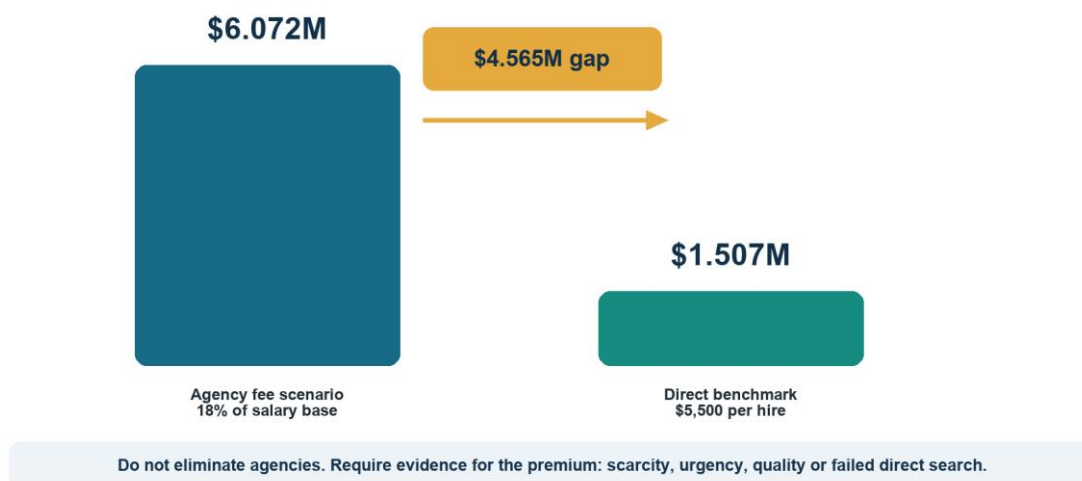


Figure 5. Agency value gap | Source: *outputs/phase_1_hipo_regrettable_deep_dive/hiring_economics.csv*

The premium is a value question, not a verdict against agencies. Direct/referral becomes the default for comparable roles; agency exceptions require scarcity, specialist capability, urgency or failed direct search, followed by a service-value review.

What happens if NovaCorp acts?

DECISION SCENARIOS - NOT FORECASTS

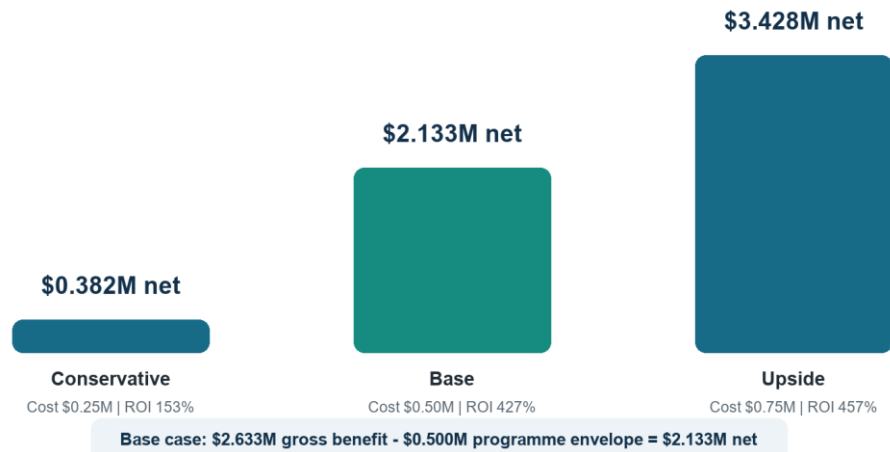


Figure 6. Net financial scenarios | Source: *outputs/final_strategy/financial_scenarios.csv*

Scenario	Retention	Agency	Cost	Net	ROI
Conservative	\$0.632M	\$0	\$0.250M	\$0.382M	153%
Base	\$1.263M	\$1.370M	\$0.500M	\$2.133M	427%
Upside	\$1.895M	\$2.283M	\$0.750M	\$3.428M	457%

Scenarios - not forecasts. Productivity and disengagement benefits are excluded. Finance recognises only demonstrably avoided invoices/ba cksfills and replaces envelopes with actual costs.

5 Why this option beats the alternatives

The recommended option has the strongest balance of evidence fit, measurable value, employee support and controlled execution.

Option	Evidence fit	Cost / value position	Decision
Continue current approach	Low	No new spend; no new learning or cost control	REJECT
HiPo pilot only	High	Lower complexity; addresses primary evidence gap	SECOND-BEST
Broad workforce programme	Low-moderate	\$3.351M minimum before employee actions	REJECT
Broad pay response	Low	1% enterprise salary increase approx. \$17.164M	REJECT
HiPo pilot + Agency Value Gate	High	\$2.133M base net scenario; two auditable levers	RECOMMEND

RECOMMEND

HiPo pilot + Agency Value Gate. It joins prevention and replacement economics without claiming employee-to-requisition linkage.

SECOND-BEST

HiPo pilot only. It fixes the retention evidence gap with lower complexity, but leaves the separately supported agency premium untouched.

REJECT

Broad workforce or pay response. Both create certain enterprise cost before NovaCorp has evidence of a common mechanism.

THE DO-NOTHING CONSEQUENCE

Historical HiPo concentration remains unmanaged; the agency premium still lacks a value test; management continues learning reasons and regret too late; and NovaCorp cannot distinguish activity from impact.

FINANCIAL DISCIPLINE

A \$0.500M base envelope breaks even at approximately 3.01 equivalent historical HiPo regrettable exits before counting agency benefit. Actual cash timing depends on avoided invoices and backfills.

6 Implementation: govern first, then prove value

30 days to govern. 90 days to prove integrity. 6-12 months to prove value.

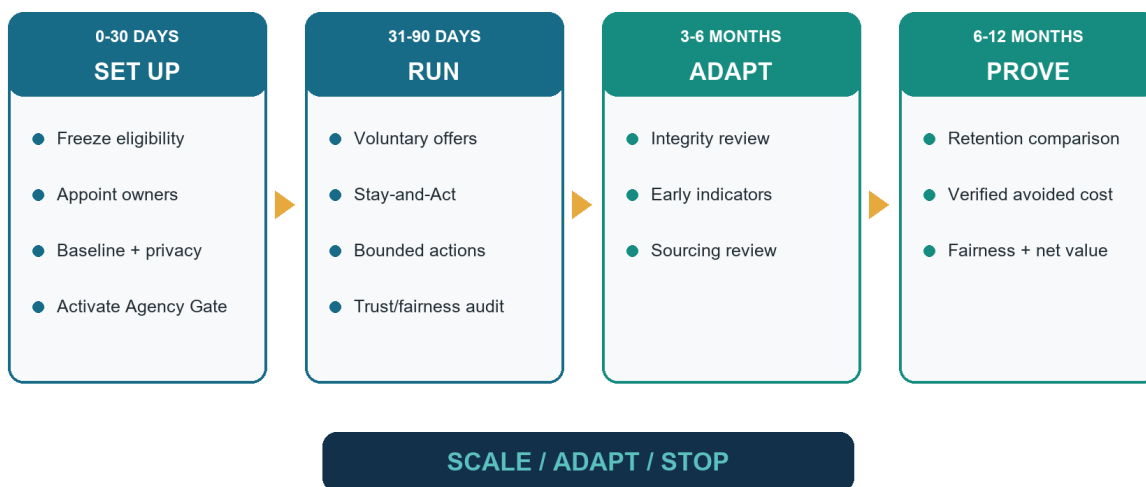


Figure 7. Implementation roadmap and gates | Source: docs/final_strategy/implementation_plan.md

Day 90 is an implementation-integrity gate - not an attrition-savings claim.

Question	Core KPI	Review
Reach	Eligibility, assignment and offer integrity	Weekly
Trust	Uptake, usefulness, confidentiality/coercion complaints	30/60/90
Action	Agreed actions completed on time and within limits	Monthly
Retention	6/12-month voluntary retention vs comparison	6/12 months
Value	Verified avoided cost less actual programme cost	Quarterly
Agency	Exceptions, premium, fill time, quality and retention	Monthly/Qtr
Fairness	Selection, offer, action and outcome disparities	Monthly/Qtr

OWNER MODEL

CHRO sponsors | Head of Talent operates | Business executives complete actions | People Analytics evaluates | CFO validates value | Privacy and employee representative govern.

7 Responsible practice and the CHRO / CFO decision

ValueGuard converts analytics into employee support rather than individual surveillance.

Boundary	Required practice
No individual inference	No flight-risk score; no use of silence or survey answers to infer resignation intent.
Voluntary and confidential	Employees can decline and retain access to ordinary HR support.
Human-owned action	No automated adverse decision, guaranteed pay rise or promised promotion.
Minimum, purpose-limited data	Separate pilot records from discipline, performance and adverse employment decisions.
Fairness and stop rules	Aggregate audit, small-cell suppression; pause for coercion, disclosure, disparity, budget or service harm.

DECISION CARD

Decision item	Recommendation
Problem	Strategic-talent value is concentrated; reasons and response arrive too late.
Priority population	1,210 formal HiPos, balanced across material role and department strata.
Intervention	Controlled voluntary Stay-and-Act pilot plus Agency Value Gate.
Initial envelope	\$0.500M base decision scenario.
Expected base value	\$2.133M net; 427% ROI - scenario, not forecast.
First 30 days	Freeze eligibility/assignment, appoint owners, baseline, safeguards and sourcing exceptions.
90-day gate	Integrity, trust, confidentiality, fair access, action completion and budget.
Scale rule	Credible 6/12-month retention, fairness and verified net value.

APPROVE VALUEGUARD AS A CONTROLLED BUSINESS EXPERIMENT - NOT A PERMANENT PROGRAMME.

- ☐ **Observation window:** 1 Jan 2024 → 31 Dec 2025.
- ☐ **Employee-specific cutoff:**
 - Leaver → cutoff = actual exit date.
 - Active employee → cutoff = 31 Dec 2025.
- ☐ **Core rule:** only use information that existed **before the employee's cutoff/index date**.
- ☐ **Performance:** use reviews with review_date < index_date or before cutoff. Future reviews are excluded.
- ☐ **Engagement/surveys:** only surveys completed before the relevant cutoff/index date are used. Post-exit surveys are excluded.
- ☐ **Matched HiPo analysis:** a leaver and their active controls are evaluated at the **same historical index date** — the leaver's exit date. This prevents controls from benefiting from extra future information.
- ☐ **Control eligibility:** a matched stayer must already have been employed by the case's index date.
- ☐ **Exit-aligned windows:** historical survey/performance features are created from defined periods **before the index date**, not after it.
- ☐ **Promotion-event rule:**
 - Pre-survey → before promotion review, within ~270 days.
 - Post-survey → after review, within ~270 days.

- Post-survey can **never pass the employee cutoff**.
- **Monthly time-varying analysis:** at each month, only information already available before that month is used; future/latest values are not copied backwards.
- **Post-outcome fields quarantined:** regrettable_flag, exit pathway, exit-interview information and similar retrospective fields are outcomes/descriptive fields, **not predictors**.
- **HiPo timing rule:** the dataset does not contain a HiPo designation date, so the analysis **did not invent one**. HiPo status could identify the cohort, but not prove temporal causation.
- **Validation checks:** repo verifies:
 - 0 events after employee cutoff.
 - 0 post-surveys occurring before a review.
 - 0 pre-surveys occurring after a review.
 - 0 invented HiPo designation events.